



SCRUTINIZER'S REPORT - ON POSTAL BALLOT AND E-VOTING

[Pursuant to Sections 108 and 110 of the Companies Act, 2013 read with Rules 20 and 22 of the Companies (Management and Administration) Rules, 2014, as amended]

To

The Chairperson

Avantel Limited

Sy No.141, Plot No.47/P, APIIC Industrial Park,

Gambheeram(V), Anandapuram (M),

Vishakhapatnam, Andhra Pradesh-531163

Dear Sir,

Sub: Report on Voting by Shareholders through Postal Ballot and E-voting for approval of the Scheme of Amalgamation between Avantel limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective Shareholders and Creditors.

I, MB Suneel, Practising Company Secretary, was appointed as Scrutinizer by the board of directors of the company by passing a resolution at the board meeting held on 17.12.2016, for the purpose of scrutinizing votes cast in the Postal Ballot and E-Voting process in terms of Sections 108 and 110 of the Companies Act, 2013 read with Rule 20 and 22 of the Companies (Management and Administration) Rules, 2014, as amended from time to time and in terms of the provisions of SEBI Circular No. CIR/CFD/CMD/16/2015, dated 30th November, 2015, issued by the Securities and Exchange Board of India ("SEBI Circular") in respect of the Resolution contained in the Notice of Postal Ballot and E-Voting dated 17.12.2016.

In terms of SEBI Circular, the Scheme shall be acted upon only if the votes cast by the Public Shareholders of the Company (i.e. shareholders other than Promoter and Promoters Group shareholders) in favour of the Resolution are more than the number of votes cast by its Public Shareholders against it through Postal Ballot and E-voting. The Company accordingly sought the consent of the public shareholders for approval of the Scheme by way of voting through postal ballot and E-voting.

I submit my report as under:

1. The Management of the Company is responsible to ensure the compliance with the requirements of the Companies Act, 2013 read with Rules made thereunder relating to Postal Ballot and E-voting on the resolution contained in the Notice of Postal Ballot and e-Voting dated 17.12.2016.
2. My responsibility as Scrutinizer for the Postal Ballot and E-voting process is restricted to conduct the Postal Ballot & E-voting process in a fair and transparent manner and to make a Scrutinizer's Report of the votes cast "in favour" and "against" the resolution stated in the notice of the Postal Ballot and E-voting, based on the Postal Ballot Forms received and based on the Report downloaded from the E-voting system provided by the M/s. Karvy Computershare Private Limited.
3. **Postal Ballot:**
 - a) The voting by Postal Ballot commenced on 28.12.2016, 09:00 AM and ended on 26.01.2017, 05:00 PM.
 - b) Particulars of all the postal ballot forms received from the Members have been entered in a register separately maintained for the purpose.
 - c) The postal ballot forms were kept under my safe custody in sealed and tamper proof ballot boxes before commencing the scrutiny of such postal ballot forms.
 - d) All postal ballot forms received upto the close of working hours i.e. 5.00 p.m. on Thursday, the 26th day of January, 2017, the last date and time fixed by the Company for receipt of the forms, were considered for my scrutiny.
 - e) The ballot box was opened in my presence on 27th day of January, 2017, at 2.00 p.m.
 - f) The postal ballot forms were duly opened in my presence and scrutinized and the shareholding details of the Shareholders who cast their votes through Postal Ballots were verified with the Register of Members of the Company / List of Beneficiaries as on 16.12.2016, being the cut-off date.
 - g) I did not find any defaced or mutilated postal ballot form.



4. **E-Voting:**

- a) The Company availed the services of M/s. Karvy Computershare Private Limited for providing the E-voting facility to the shareholders of the Company.
 - b) The shareholders holding shares either in physical form or dematerialized form as on the cut-off date i.e. 16.12.2016, were entitled to vote electronically on the proposed resolutions as set out in the Notice dated 17.12.2016.
 - c) The E-voting platform remained open from 28.12.2016, 09:00 AM to 26.01.2017, 05:00 PM and was blocked thereafter.
 - d) The votes cast by the shareholders during the aforesaid E-voting period were duly unblocked by me on 27th day of January, 2017, in the presence of two witnesses who were not in the employment of the Company.
 - e) The details containing inter alia, list of the Equity Shareholders, who voted "for", "against" the resolution that was put to vote, were generated from the e-voting website of M/s. Karvy Computershare Private Limited i.e. evoting.karvy.com.
5. I report the result of the voting by Postal Ballot and through electronic means i.e., E-voting system, in respect of the Resolution set out in the notice of the Postal Ballot and E-voting is as under:

Proposed Resolution: Approval of the Scheme of Amalgamation between Avantel Limited (Transferee Company) and Wiki Kids Limited (Transferor Company) and their respective Shareholders and Creditors.

Nature of Resolution: Ordinary Resolution to be passed by the Public Shareholders of the Company in terms of the SEBI Circular. The total votes considered for the purpose are the votes cast only by the Public Shareholders in terms of the said SEBI Circular.

(i) **Votes in Favor:**

Particulars	No. of members voted	No. of votes cast	% of total no. of valid votes cast
Postal Ballot	15	395165	94.0511
E-voting	9	24994	5.94869
Total	24	420159	100

(ii) **Votes Against:**

Particulars	No. of members voted	No. of votes cast	% of total no. of valid votes cast
Postal Ballot	0	0	NA
E-voting	1	1	0.00024
Total	1	1	0.00024

(iii) **Total Votes:**

Particulars	No. of members voted	No. of votes cast	% of total no. of valid votes cast
TOTAL VOTES (I + II)	24	420160	100

(iv) **Invalid Votes:**

Particulars	No. of members voted	No. of votes cast	% of total no. of invalid votes cast
Postal Ballot	Nil	Nil	Nil
E-voting	Nil	Nil	Nil

6. Based on the aforesaid result, I state that the percentage of total valid votes cast in favor of the resolution 100% and the percentage of total valid votes cast against the resolution is 0.00024%. Hence the proposed resolution has been passed with requisite majority i.e., the votes cast by the public shareholders in favor of the proposed resolution are more than the number of votes cast by the public shareholders against it.
7. In terms of Rule 20 of the Rules, the register and all other papers and relevant records relating to Postal Ballot and e-Voting have been handed over to Mr. Lokesh Agarwal, Company Secretary of the Company, for safe keeping.

Thanking You,

Yours faithfully,

For **P.S. Rao & Associates**

Practising Company Secretaries


M. B. Suneel

Scrutinizer for the Company

C.P.No. 14449

Place: Vishakhapatnam

Date: 27.01.2017